

STV Group plc - Comprehensive Financial Analysis Report

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Executive Summary

This report provides a detailed financial and operational analysis of **STV Group plc**, highlighting valuation metrics, profitability, liquidity, leverage, operational efficiency, earnings quality, asset quality, cash flow, ownership structure, and governance. The analysis aims to clarify the underlying reasons for the company's low market valuation and assess its risk-reward profile.

Key Findings and Insights

- **Valuation Multiples**
 - Price-to-Earnings (P/E) ratio: **2.6x** (very low)
 - Enterprise Value to Revenue (EV/Revenue) ratio: **0.3x**
 - Market likely discounts the company due to financial risks or growth concerns.
- **Cash Flow and Earnings Sustainability**
 - Free Cash Flow Yield: **25.7%** (strong)
 - Cash Flow Conversion: **76%** (positive)
 - Free Cash Flow: **£7.3 million**
 - Cash Conversion Ratio: **0.8**
- **Profitability Metrics**
 - Gross Margin: **45.6%** (strong)
 - Net Margin: **5.7%** (positive)
 - Return on Capital Employed (ROCE): **17.4%** (efficient capital use)
 - Return on Equity (ROE): **-167.4%** (deeply negative due to negative equity)
- **Liquidity and Leverage**
 - Current Ratio: **1.5x** (borderline adequate)

- Quick Ratio: **1.0x** (borderline adequate)
 - Net Debt to EBITDA: **2.9x** (moderate leverage)
 - Interest Coverage Ratio: **1.5x** (weak, indicating risk servicing debt)
 - Debt-to-Equity Ratio: **-5.2** (negative equity signals financial distress)
 - **Operational Efficiency**
 - Inventory Turnover: **7.1x** (strong)
 - Days Sales Outstanding: **16 days** (efficient receivables management)
 - **Earnings Quality**
 - Low Accruals: **2.5%**
 - No gap between adjusted and statutory earnings
 - Strong EBITDA to Free Cash Flow conversion
 - **Asset Quality**
 - Goodwill as % of Assets: **12%** (limited goodwill risk)
 - Tangible Book Value: **-£33.2 million** (negative)
 - Capex to Depreciation Ratio: **0** (suggests underinvestment in fixed assets)
 - **Ownership and Governance**
 - Ownership concentrated with significant institutional shareholders
 - Transparent governance disclosures
 - Dividend policy proposes **11.3p per share for 2024**
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Relevance and Interpretation

- The **low valuation multiples** combined with **strong cash flow generation** suggest the market undervalues STV Group, likely due to concerns about its **financial structure** rather than its operational performance.
 - The **negative equity** and **weak interest coverage** highlight significant financial risks that could impact the company's ability to sustain operations or refinance debt.
 - Strong **operational efficiency** and **earnings quality** indicate the core business is sound and cash-generative.
 - The **negative tangible book value** and **low reinvestment in fixed assets** raise concerns about the company's long-term asset sustainability.
 - Concentrated **institutional ownership** and **transparent governance** provide a solid framework for shareholder engagement and oversight.
 - These factors are critical for assessing the **risk-reward profile** and the potential for **value unlocking through activist engagement**.
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Conclusions

STV Group plc presents a fundamentally undervalued company with real, repeatable earnings and strong cash flow generation.

Operational profitability and cash conversion are solid, supported by efficient working capital management and transparent accounting.

However, the company carries significant financial risks due to negative equity, weak interest coverage, and moderate leverage.

The negative tangible book value and low reinvestment in fixed assets pose risks to long-term sustainability.

The market's low valuation multiples likely reflect these financial risks rather than operational performance.

Monitoring of interest coverage, equity recovery, and refinancing risks is warranted.

The company's strong cash flow and profitability provide a foundation for potential recovery and value realization, but the capital structure and equity position remain inflated risk factors.

Analyst's Signature

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End of Report